# Accounting Principles

**Thirteenth Edition**

Weygandt Kimmel Kieso

## Chapter 2

# The Recording Process

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# Chapter Outline

## Learning Objectives

**LO 1** Describe how accounts, debits, and credits are used to record business transactions.

**LO 2** Indicate how a journal is used in the recording process.

**LO 3** Explain how a ledger and posting help in the recording process.

**LO 4** Prepare a trial balance.

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# Accounts, Debits, and Credits

## The Account

- Record of increases and decreases in a specific asset, liability, owner's equity, revenue, or expense item.
- Debit = "Left"
- Credit = "Right"

**An account can be illustrated in a T-account form.**



| Account Name | |
|---|---|
| **Debit / Dr.** | **Credit / Cr.** |
| | |
| | |


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# Debits and Credits

If the sum of **Debit** entries are **greater than** the sum of **Credit** entries, the account will have a debit balance.

| | Account Name | | |
|---|---|---|---|
| | **Debit / Dr.** | **Credit / Cr.** | |
| **Transaction #1** | **$10,000** | **$3,000** | **Transaction #2** |
| **Transaction #3** | **8,000** | | |
| **Balance** | | | |


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# Debits and Credits

If the sum of **Credit** entries are **greater than** the sum of **Debit** entries, the account will have a credit balance.

| | Account Name | | |
|---|---|---|---|
| | **Debit / Dr.** | **Credit / Cr.** | |
| **Transaction #1** | **$10,000** | **$3,000** | **Transaction #2** |
| | | **8,000** | **Transaction #3** |
| **Balance** | | | |


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# Debits and Credits

## Debit and Credit Procedure

### Double-entry system

- Each transaction must affect two or more accounts to keep basic accounting equation in balance
- Recording done by debiting at least one account and crediting at least one other account
- **DEBITS must equal CREDITS**


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# Accounts, Debits, and Credits

**Assets**

| Debit / Dr. | Credit / Cr. |
|---|---|
|  |  |
| Normal Balance | |

**Liabilities**

| Debit / Dr. | Credit / Cr. |
|---|---|
|  |  |
| | Normal Balance |

- **Assets** - Debits should exceed credits
- **Liabilities** – Credits should exceed debits
- **Normal balance** is on the increase side


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# Accounts, Debits, and Credits

**Owner's Capital**

| Debit / Dr. | Credit / Cr. |
|---|---|
|  |  |
| | Normal Balance |

**Owner's Drawings**

| Debit / Dr. | Credit / Cr. |
|---|---|
|  |  |
| Normal Balance | |

- **Owner's investments** and **revenues** increase owner's equity (credit)
- **Owner's drawings** and **expenses** decrease owner's equity (debit)


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# Accounts, Debits, and Credits

**Revenues**

| Debit / Dr. | Credit / Cr. |
|---|---|
|  |  |
| | Normal Balance |

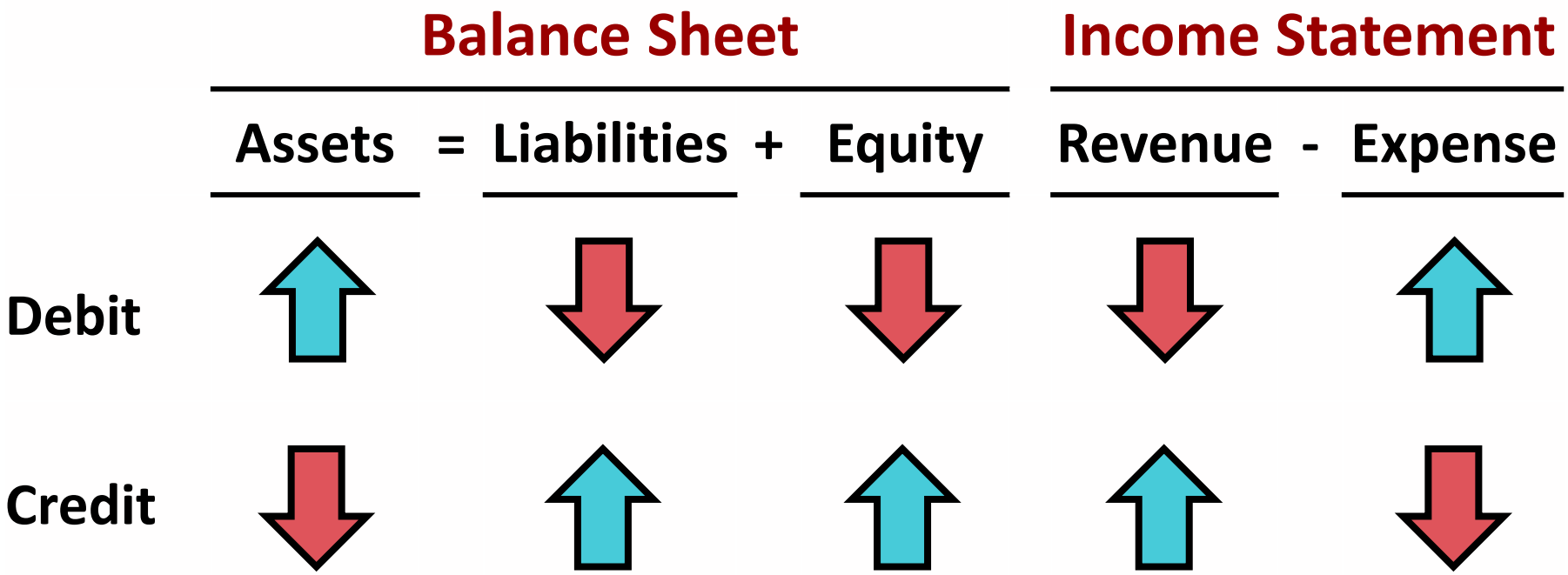
**Expenses**

| Debit / Dr. | Credit / Cr. |
|---|---|
|  |  |
| Normal Balance | |

- Earning **revenues** is to benefit owner(s)
- Effect of debits and credits on revenue accounts is the **same as** effect on Owner's Capital
- **Expenses** have opposite effect


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# Summary of Debit / Credit Rules





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# Summary of Debit / Credit Rules

Debit/credit rules and effects on each type of account.

**Assets = Liabilities + Owner's Equity**

ILLUSTRATION 2.11

| Assets | | = | Liabilities | | + | Owner's Capital | | - | Owner's Drawing | | + | Revenue | | - | Expense | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Dr. | Cr. | | Dr. | Cr. | | Dr. | Cr. | | Dr. | Cr. | | Dr. | Cr. | | Dr. | Cr. |
| + | - | | - | + | | - | + | | + | - | | - | + | | + | - |

Equation must be in balance after every transaction.

**Total Debits must equal total Credits**.

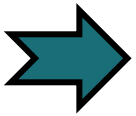

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# Debit / Credit Rules

Debits:

a. increase both assets and liabilities

b. decrease both assets and liabilities



c. increase assets and decrease liabilities

d. decrease assets and increase liabilities


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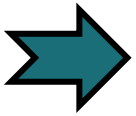
# Debit / Credit Rules

Accounts that normally have debit balances are:

a. assets, expenses, and revenues

b. assets, expenses, and equity

c. assets, liabilities, and owner's drawing



d. assets, owner's drawing, and expenses


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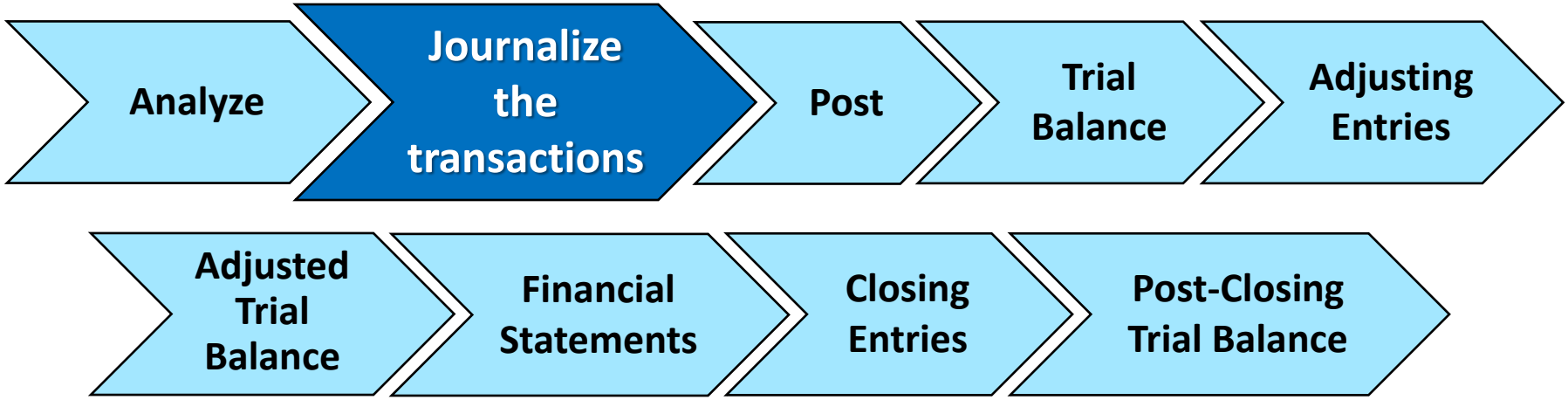
# DO IT! 1 | Normal Account Balance

Kate Browne has just rented space in a shopping mall. She will open a hair salon to be called “Hair It Is.” A friend has advised Kate to set up a double-entry set of accounting records in which to record all of her business transactions. Identify the balance sheet accounts that Kate will likely need to record the transactions needed to open her business. Indicate whether the normal balance of each account is a debit or a credit.

| Assets | Liabilities | Equity |
| --- | --- | --- |


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# The Journal




## The Recording Process

- Analyze transaction
- Enter transaction in journal
- Transfer journal information to ledger accounts


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# The Journal

- Book of original entry
- Transactions recorded in chronological order
- Contributions to the recording process:
  1. Discloses the **complete effects of a transaction**
  2. Provides a **chronological record** of transactions
  3. Helps to **prevent or locate errors** because the debit and credit amounts can be easily compared


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# Journalizing

**Journalizing** - Entering transaction data in the journal.

**Illustration:** On September 1, Ray Neal invested $15,000 cash in the business, and Softbyte purchased computer equipment for $7,000 cash.

ILLUSTRATION 2.13

| GENERAL JOURNAL | | | | J1 |
|---|---|---|---|---|
| **Date** | **Account Titles and Explanations** | **Ref.** | **Debit** | **Credit** |
| Sept. 1 | | | | |
| | | | | |
| | | | | |
| | | | | |
| | | | | |


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# Journalizing

## Simple and Compound Entries

**Illustration:** On July 1, Butler Company purchases a delivery truck costing $14,000. It pays $8,000 cash now and agrees to pay the remaining $6,000 on account (to be paid later).

ILLUSTRATION 2.14

| GENERAL JOURNAL | | | | J1 |
|---|---|---|---|---|
| **Date** | **Account Titles and Explanations** | **Ref.** | **Debit** | **Credit** |
| July 1 | | | | |
| | | | | |
| | | | | |
| | | | | |


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# DO IT! 2 | Recording Business Activities

Kate Browne engaged in the following activities in establishing her salon, Hair It Is:

1. Opened a bank account in the name of Hair It Is and deposited $20,000 of her own money in this account as her initial investment.
2. Purchased equipment on account (to be paid in 30 days) for a total cost of $4,800.
3. Interviewed three people for the position of hair stylist.

**Prepare the journal entries to record the transactions.**


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# DO IT! 2 | Recording Business Activities

**Prepare the journal entries to record the transactions.**

**1.** Opened a bank account and deposited $20,000.

| | | |
|---|---|---|
| Cash | 20,000 | |
| Owner's Capital | | 20,000 |

**2.** Purchased equipment on account (to be paid in 30 days) for a total cost of $4,800.

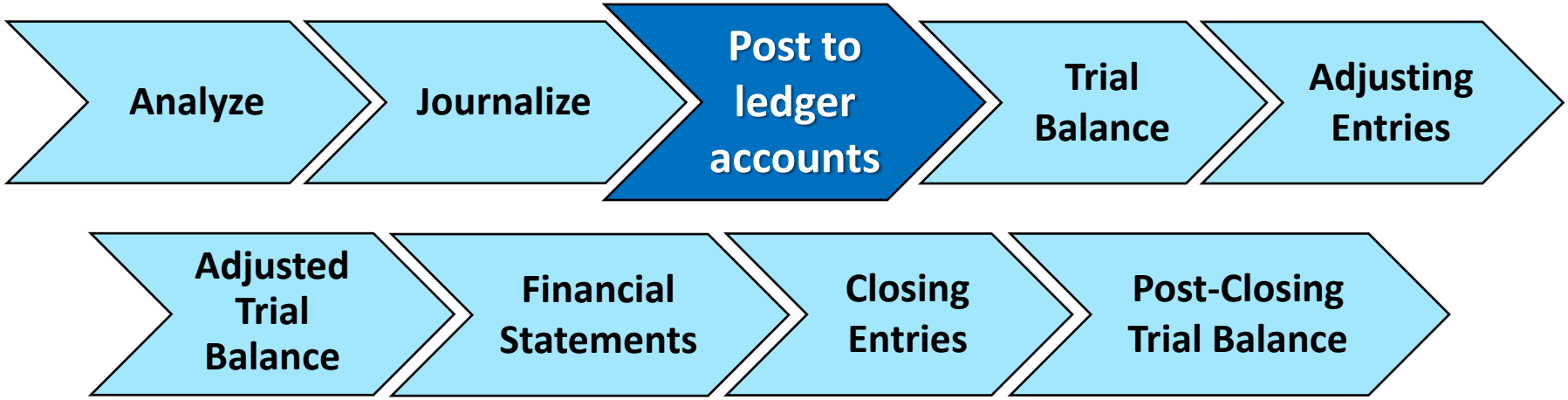
| | | |
|---|---|---|
| Equipment | 4,800 | |
| Accounts Payable | | 4,800 |

**3.** Interviewed three persons for the position of hair stylist.

No entry


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# The Journal and Posting




## The Ledger

- Entire group of accounts maintained by a company
- Provides the balance in each account
- Keeps track of changes in account balances


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# The Ledger

**General ledger** contains all asset, liability, and owner's equity accounts

ILLUSTRATION 2.15

| Asset Accounts | Liability Accounts | Owner's Equity Accounts |
|---|---|---|
| Cash | Notes Payable | Owner's Capital |
| Supplies | Accounts Payable | Owner's Drawings |
| Equipment | Salaries and Wages Payable | Service Revenue |
| Land | Interest Payable | Salaries and Wages Expense |


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# The Ledger

## Standard Form of Account

ILLUSTRATION 2.16

| CASH | | | | | NO. 101 |
|---|---|---|---|---|---|
| **Date** | **Explanation** | **Ref.** | **Debit** | **Credit** | **Balance** |
| 2020 | | | | | |
| June 1 | | | 25,000 | | 25,000 |
| 2 | | | | 8,000 | 17,000 |
| 3 | | | 4,200 | | 21,200 |
| 9 | | | 7,500 | | 28,700 |
| 17 | | | | 11,700 | 17,000 |
| 20 | | | | 250 | 16,750 |
| 30 | | | | 7,300 | 9,450 |


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# The Ledger

**GENERAL JOURNAL** — **J1**

| Date | Account Titles and Explanation | Ref. | Debit | Credit |
|---|---|---|---|---|
| 2020 Sept. 1 | Cash | 101 | 15,000 | |
| | Owner's Capital | 301 | | 15,000 |

**GENERAL LEDGER**

**Cash** — **NO. 101**

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2020 Sept. 1 | | J1 | 15,000 | | 15,000 |

**Owner's Capital** — **NO. 301**

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2020 Sept. 1 | | J1 | | 15,000 | 15,000 |

**ILLUSTRATION 2.17**
Posting a journal entry


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# Posting

Posting:

a. normally occurs before journalizing
b. transfers ledger transaction data to the journal
c. is an optional step in the recording process
d. transfers journal entries to ledger accounts


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# Chart of Accounts

Accounts in **Red** are used in this chapter.

| Assets |
|---|
| **101 Cash** |
| 112 Accounts Receivable |
| **126 Supplies** |
| **130 Prepaid Insurance** |
| **157 Equipment** |
| 158 Accumulated Depreciation—Equipment |

| Liabilities |
|---|
| **200 Notes Payable** |
| **201 Accounts Payable** |
| **209 Unearned Service Revenue** |
| 212 Salaries and Wages Payable |
| 230 Interest Payable |

| Owner's Equity |
|---|
| **301 Owner's Capital** |
| **306 Owner's Drawings** |
| 350 Income Summary |

| Revenues |
|---|
| **400 Service Revenue** |

| Expenses |
|---|
| 631 Supplies Expense |
| 711 Depreciation Expense |
| 722 Insurance Expense |
| **726 Salaries and Wages Expense** |
| **729 Rent Expense** |
| **732 Utilities Expense** |
| 905 Interest Expense |

ILLUSTRATION 2.18


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# The Recording Process Illustrated

**Follow these steps:**

1. Determine what type of account is involved.
2. Determine what items increased or decreased and by how much.
3. Translate the increases and decreases into debits and credits.


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| | |
|---|---|
| **Transaction** | **On October 1, C. R. Byrd invests $10,000 cash in an advertising company called Pioneer Advertising.** |
| **Basic Analysis** | **The asset Cash increases $10,000; owner's equity (specifically, Owner's Capital) increases $10,000.** |

**Equation Analysis**

| Assets | = | Liabilities | + | Owner's Equity |
|---|---|---|---|---|
| Cash | = | | + | Owner's Capital |
| +$10,000 | | | | $10,000 |

| | |
|---|---|
| **Debit-Credit Analysis** | **Debits increase assets: debit Cash $10,000.**<br>**Credits increase owner's equity: credit Owner's Capital $10,000.** |

**Journal Entry**

| Date | Titles | Ref. | Debit | Credit |
|---|---|---|---|---|
| Oct. 1 | Cash | 101 | 10,000 | |
| | Owner's Capital | 301 | | 10,000 |

**Posting**

| Cash 101 | | | | Owner's Capital 301 | | | |
|---|---|---|---|---|---|---|---|
| Oct. 1 | 10,000 | | | | | Oct. 1 | 10,000 |


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| | |
|---|---|
| **Transaction** | **On October 1, Pioneer purchases office equipment costing $5,000 by signing a 3-month, 12%, $5,000 note payable.** |
| **Basic Analysis** | |
| **Equation Analysis** | **Assets = Liabilities + Owner's Equity**<br>**=** |
| **Debit-Credit Analysis** | |

**Journal Entry**

| Date | Titles | Ref. | Debit | Credit |
|---|---|---|---|---|
| Oct. 1 | | | | |

**Posting**


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| | |
|---|---|
| **Transaction** | **On October 2, Pioneer receives a $1,200 cash for advertising services that are expected to be completed by December 31.** |
| **Basic Analysis** | |
| **Equation Analysis** | **Assets = Liabilities + Owner's Equity**<br>**=** |
| **Debit-Credit Analysis** | |

**Journal Entry**

| Date | Titles | Ref. | Debit | Credit |
|---|---|---|---|---|
| Oct. 2 | | | | |

**Posting**

**Cash 101**

| | | | |
|---|---|---|---|
| Oct. 1 | 10,000 | | |


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| | |
|---|---|
| **Transaction** | **On October 3, Pioneer pays office rent for October in cash of $900.** |

**Basic Analysis**

**Equation Analysis**

| Assets | = | Liabilities | + | Owner's Equity |
|---|---|---|---|---|
| | = | | | |

**Debit-Credit Analysis**

**Journal Entry**

| Date | Titles | Ref. | Debit | Credit |
|---|---|---|---|---|
| Oct. 3 | | | | |

**Posting**

Cash 101

| | | | |
|---|---|---|---|
| Oct. 1 | 10,000 | | |
| 2 | 1,200 | | |


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| | |
|---|---|
| **Transaction** | **On October 4, Pioneer pays $600 for a one-year insurance policy that will expire next year on September 30.** |
| **Basic Analysis** | |
| **Equation Analysis** | **Assets = Liabilities + Owner's Equity** |
| **Debit-Credit Analysis** | |

**Journal Entry**

| Date | Titles | Ref. | Debit | Credit |
|---|---|---|---|---|
| Oct. 4 | | | | |

**Posting**

**Cash 101**

| | | | |
|---|---|---|---|
| Oct. 1 | 10,000 | Oct. 3 | 900 |
| 2 | 1,200 | | |


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| | |
|---|---|
| **Transaction** | **On October 5, Pioneer purchases a 3-month supply of advertising materials on account from Aero Supply for $2,500.** |
| **Basic Analysis** | |
| **Equation Analysis** | **Assets = Liabilities + Owner's Equity** |
| | **=** |
| **Debit-Credit Analysis** | |

**Journal Entry**

| Date | Titles | Ref. | Debit | Credit |
|---|---|---|---|---|
| Oct. 5 | | | | |

**Posting**




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| | |
|---|---|
| **Transaction** | **On October 9, Pioneer hires four employees to begin work on October 15. Each employee is to receive a weekly salary of $500.** |
| **Basic Analysis** | |
| **Equation Analysis** | **Assets = Liabilities + Owner's Equity**<br>**= ** |
| **Debit-Credit Analysis** | |
| **Journal Entry** | **Date \| Titles \| Ref. \| Debit \| Credit** |
| **Posting** | |


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| | |
|---|---|
| **Transaction** | **On October 20, C. R. Byrd withdraws $500 cash for personal use.** |

**Basic Analysis**

**Equation Analysis**

| Assets | = | Liabilities | + | Owner's Equity |
|---|---|---|---|---|
| | = | | | |

**Debit-Credit Analysis**

**Journal Entry**

| Date | Titles | Ref. | Debit | Credit |
|---|---|---|---|---|
| Oct. 20 | | | | |

**Posting**

| Cash | | | | 101 | | | |
|---|---|---|---|---|---|---|---|
| Oct. 1 | 10,000 | Oct. 3 | 900 | | | | |
| 2 | 1,200 | 4 | 600 | | | | |


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| | |
|---|---|
| **Transaction** | **On October 26, Pioneer owes employee salaries of $4,000 and pays them in cash (see October 9 event).** |
| **Basic Analysis** | |
| **Equation Analysis** | **Assets = Liabilities + Owner's Equity**<br>**= ** |
| **Debit-Credit Analysis** | |

**Journal Entry**

| Date | Titles | Ref. | Debit | Credit |
|---|---|---|---|---|
| Oct. 26 | | | | |

**Posting**

**Cash 101**

| | | | |
|---|---|---|---|
| Oct. 1 | 10,000 | Oct. 3 | 900 |
| 2 | 1,200 | 4 | 600 |
| | | 20 | 500 |


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| | |
|---|---|
| **Transaction** | **On October 31, Pioneer receives $10,000 in cash from Copa Company for advertising services performed in October.** |
| **Basic Analysis** | |
| **Equation Analysis** | **Assets = Liabilities + Owner's Equity**<br>**= ** |
| **Debit-Credit Analysis** | |

**Journal Entry**

| Date | Titles | Ref. | Debit | Credit |
|---|---|---|---|---|
| Oct. 31 | | | | |

**Posting**

**Cash 101**

| | | | |
|---|---|---|---|
| Oct. 1 | 10,000 | Oct. 3 | 900 |
| 2 | 1,200 | 4 | 600 |
| | | 20 | 500 |
| | | 31 | 4,000 |


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# Journalizing and Posting Summary

| GENERAL JOURNAL | | | | Page J1 |
|---|---|---|---|---|
| **Date** | **Explanation** | **Ref.** | **Debit** | **Credit** |
| 2020 | | | | |
| Oct. 1 | Cash | 101 | 10,000 | |
| | Owners' Capital | 301 | | 10,000 |
| 1 | Equipment | 157 | 5,000 | |
| | Notes Payable | 200 | | 5,000 |
| 2 | Cash | 101 | 1,200 | |
| | Unearned Revenue | 209 | | 1,200 |
| 3 | Rent Expense | 729 | 900 | |
| | Cash | 101 | | 900 |


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| GENERAL JOURNAL | | | | Page J1 |
|---|---|---|---|---|
| **Date** | **Explanation** | **Ref.** | **Debit** | **Credit** |
| 2020 | | | | |
| Oct. 4 | Prepaid Insurance | 130 | 600 | |
| | Cash | 101 | | 600 |
| 5 | Supplies | 126 | 2,500 | |
| | Accounts Payable | 201 | | 2,500 |
| 20 | Owner's Drawings | 306 | 500 | |
| | Cash | 101 | | 500 |
| 26 | Salaries and Wages Expense | 726 | 4,000 | |
| | Cash | 101 | | 4,000 |
| 31 | Cash | 101 | 10,000 | |
| | Service Revenue | 400 | | 10,000 |


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## GENERAL LEDGER

**Cash** — No. 101

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2020 | | | | | |
| Oct. 1 | | J1 | 10,000 | | 10,000 |
| 2 | | J1 | 1,200 | | 11,200 |
| 3 | | J1 | | 900 | 10,300 |
| 4 | | J1 | | 600 | 9,700 |
| 20 | | J1 | | 500 | 9,200 |
| 26 | | J1 | | 4,000 | 5,200 |
| 31 | | J1 | 10,000 | | **15,200** |

**Supplies** — No. 126

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2020 | | | | | |
| Oct. 5 | | J1 | 2,500 | | **2,500** |

**Prepaid Insurance** — No. 130

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2020 | | | | | |
| Oct. 4 | | J1 | 600 | | **600** |

**Equipment** — No. 157

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2020 | | | | | |
| Oct. 1 | | J1 | 5,000 | | **5,000** |

**Notes Payable** — No. 200

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2020 | | | | | |
| Oct. 1 | | J1 | | 5,000 | **5,000** |

**Accounts Payable** — No. 201

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2020 | | | | | |
| Oct. 5 | | J1 | | 2,500 | **2,500** |

**Service Revenue** — No. 209

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2020 | | | | | |
| Oct. 2 | | J1 | | 1,200 | **1,200** |

**Owner's Capital** — No. 301

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2020 | | | | | |
| Oct. 1 | | J1 | | 10,000 | **10,000** |

**Owner's Drawings** — No. 306

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2020 | | | | | |
| Oct. 20 | | J1 | 500 | | **500** |

**Service Revenue** — No. 400

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2020 | | | | | |
| Oct. 31 | | J1 | | 10,000 | **10,000** |

**Salaries and Wages Expense** — No. 726

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2020 | | | | | |
| Oct. 26 | | J1 | 4,000 | | **4,000** |

**Rent Expense** — No. 729

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2020 | | | | | |
| Oct. 3 | | J1 | 900 | | **900** |

**ILLUSTRATION 2.29**
General Ledger


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# DO IT! 3 | Posting

Post these entries to the Cash account.

| | | | |
|---|---|---|---|
| Mar. 4 | Cash | 2,280 | |
| | Service Revenue | | 2,280 |
| 15 | Salaries and Wages Expense | 400 | |
| | Cash | | 400 |
| 19 | Utilities Expense | 92 | |
| | Cash | | 92 |

**Cash**

| | | | |
|---|---|---|---|
| 3/1 Bal. | 600 | | |
| | | | |
| | | | |


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# Pioneer Advertising
## Trial Balance
## October 31, 2020

| | Debit | Credit |
|---|---|---|
| Cash | $15,200 | |
| Supplies | 2,500 | |
| Prepaid Insurance | 600 | |
| Equipment | 5,000 | |
| Notes Payable | | $ 5,000 |
| Accounts Payable | | 2,500 |
| Unearned Revenue | | 1,200 |
| Owner's Capital | | 10,000 |
| Owner's Drawings | 500 | |
| Service Revenue | | 10,000 |
| Salaries and Wages Expense | 4,000 | |
| Rent Expense | 900 | |
| | **$28,700** | **$28,700** |

ILLUSTRATION 2.31


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# Limitation of a Trial Balance

Trial balance may balance even when:

1. A transaction is not journalized.
2. A correct journal entry is not posted.
3. A journal entry is posted twice.
4. Incorrect accounts are used in journalizing or posting.
5. Offsetting errors are made in recording the amount of a transaction.


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# Trial Balance

## Locating Errors

Errors in a trial balance generally result from

- mathematical mistakes,
- incorrect postings,
- or simply transcribing data incorrectly.


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# Trial Balance

## Dollar Signs

- Do not appear in journals or ledgers
- Typically used only in trial balance and financial statements
- Shown only for first item in column and for the total of that column

## Underlining

- Single line is placed under column of figures to be added or subtracted
- Totals are double-underlined

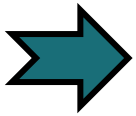

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# Trial Balance

A trial balance will not balance if:

a. a correct journal entry is posted twice.

b. the purchase of supplies on account is debited to Supplies and credited to Cash.



c. a $100 cash drawing by the owner is debited to Owner's Drawing for $1,000 and credited to Cash for $100.

d. a $450 payment on account is debited to Accounts Payable for $45 and credited to Cash for $45.


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# DO IT! 4 | Posting

The following accounts come from the ledger of SnowGo Company at December 31, 2020.

| | | | | | |
|---|---|---|---|---|---|
| 157 | Equipment | $88,000 | 301 | Owner's Capital | $20,000 |
| 306 | Owner's Drawings | 8,000 | 212 | Salaries and Wages Payable | 2,000 |
| 201 | Accounts Payable | 22,000 | | | |
| 726 | Salaries and Wages Expense | 42,000 | 200 | Notes Payable (due in 3 months) | 19,000 |
| 112 | Accounts Receivable | 4,000 | 732 | Utilities Expense | 3,000 |
| 400 | Service Revenue | 95,000 | 130 | Prepaid Insurance | 6,000 |
| | | | 101 | Cash | 7,000 |

Prepare a trial balance in good form.


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# SnowGo Company
## Trial Balance
## December 31, 2020

| | Debit | Credit |
|---|---|---|


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# A Look at IFRS

## Key Points

### Similarities

- Transaction analysis is the same under IFRS and GAAP.
- Both the IASB and the FASB go beyond the basic definitions provided in the textbook for the key elements of financial statements, that is assets, liabilities, equity, revenue, and expenses. The implications of the expanded definitions are discussed in more advanced accounting courses.
- As shown in the textbook, dollar signs are typically used only in the trial balance and the financial statements. The same practice is followed under IFRS, using the currency of the country where the reporting company is headquartered.


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# A Look at IFRS

## Key Points

### Similarities

- A trial balance under IFRS follows the same format as shown in the textbook.

### Differences

- IFRS relies less on historical cost and more on fair value than do FASB standards.
- Internal controls are a system of checks and balances designed to prevent and detect fraud and errors.
- While most public U.S. companies have these systems in place, many non-U.S. companies have never completely documented the controls nor had an independent auditor attest to their effectiveness.


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# A Look at IFRS

## Looking to the Future

The basic recording process shown in this textbook is followed by companies across the globe. It is unlikely to change in the future. The definitional structure of assets, liabilities, equity, revenues, and expenses may change over time as the IASB and FASB evaluate their overall conceptual framework for establishing accounting standards.


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